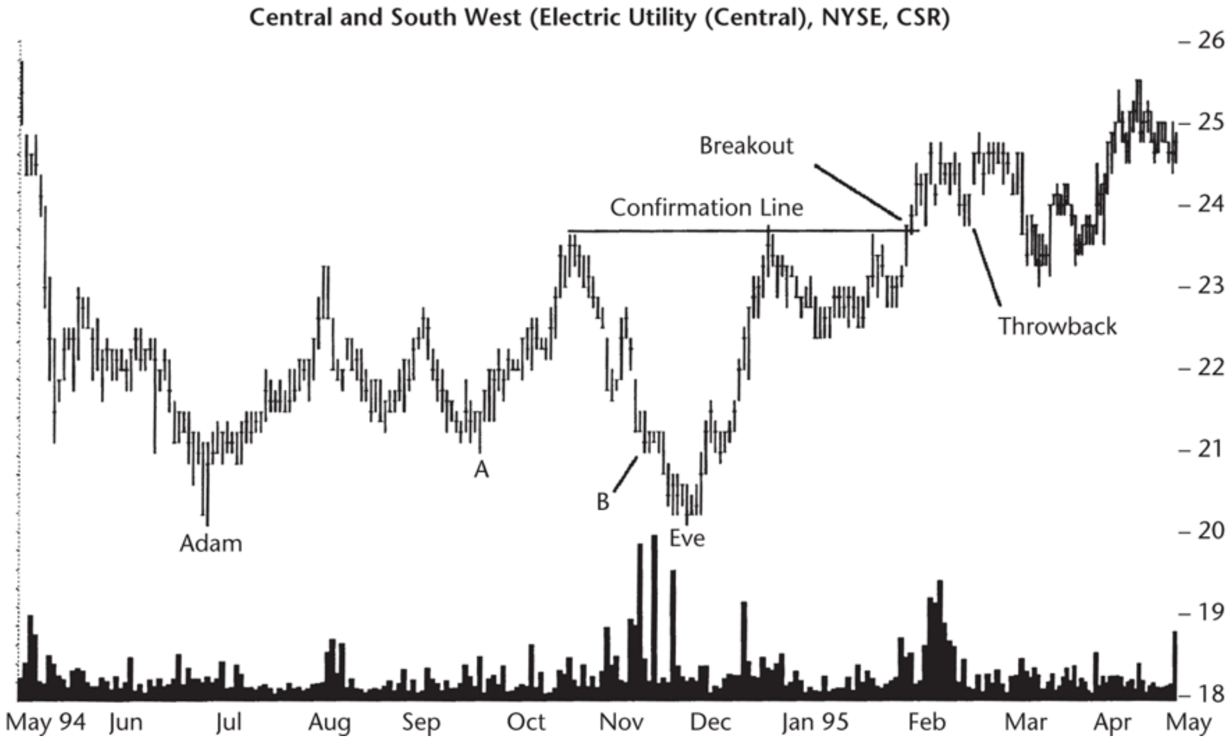

Figure 27.4 Price confirms the breakout once it closes above the confirmation point, shown here as the horizontal line. Price often throws back to this level after the breakout.

Focus on Failures

It is obvious that the pattern pictured in **Figure 27.5** is a valid double bottom. The first bottom occurs after a downward price trend, as you would expect. The two bottoms are far enough apart, the rise between them is sufficient to delineate two minor lows (valleys), and the price variation between the two bottoms is small. The volume pattern is unusual in that the second bottom has a higher, denser volume pattern than the first. However, this is not significant.

After the second bottom, price rises at a steady rate until the confirmation point. Then price jumps up and pierces the price of the prior minor high at about 40.63. When price *closes* above the confirmation line, it signals a breakout and swears the double bottom formation is a valid pattern.

In this case, as is common for many double bottoms, price throws back to the breakout price. However, this stock continues moving down. Scrolling